

Governance Factors in ESG Investing

From the agency problem to the frontier of shareholder democracy

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Summer ESG Module | PGT

Who actually decides what a company does?

ExxonMobil, May 2021. A brand-new hedge fund — **Engine No. 1** — owned about **0.02%** of Exxon. It nominated **four** directors on a decarbonisation platform.

Before I tell you what happened — predict

How many of the twelve board seats do you think a **0.02%** owner won? 0? 1?
3? *none — it's hopeless?*

It **won three of twelve board seats**. No new law. No boycott. No takeover. The lever was a **shareholder vote** — other owners (including index funds) voted with it.

The question for today

Environmental and social outcomes did not happen by wish. They were *produced* by a **governance mechanism**. Today we study that machinery — and where it breaks.

Roadmap

1. **Foundations** — the agency problem and the governance toolkit.
2. **Shareholders & voting** — how control is actually exercised today.
3. **Governance × ESG** — how E&S preferences become corporate action (and fail to).
4. **The frontier** — shareholder democracy: trading, voting, and the value of a vote.
5. **A live research question** — dual-class “sunset contests.”

How today works

At several points I will **stop and ask you to predict** — a yes/no, a number, a guess. You argue it out; then we see what a top finance/economics paper actually found; then a *conclusive* answer.

“ESG” = the environmental, social & governance factors investors weigh beyond pure financials.

Afternoon: the African Bank (ABIL) case — governance failure in the flesh.

The thesis: governance is the *transmission mechanism*

The “G” is not a third silo next to E and S.

It is the **machinery** that turns preferences
— for profit, for the planet, for workers
— into what the firm actually does.

Preferences (owners, society)

↓ *boards · voting · blockholders*

Corporate action (E, S, returns)

Take this away

Good E&S outcomes without good governance are a *wish*. If you understand G, you understand how (and whether) E and S get delivered.

Foundations: the agency problem

The root: ownership $\neq$ control

Berle & Means (1932). In the modern public corporation, ownership is **dispersed** across many small shareholders, while control sits with **professional managers** who own little.

- Owners bear the cash-flow consequences.
- Managers make the decisions.
- Their interests are *not* automatically aligned.

This separation is the seed of *all* corporate governance

Every tool we study exists to bridge the gap between those who *own* and those who *decide*.

Jensen & Meckling (JFE 1976). When an agent (manager) acts for a principal (owner), conflicts generate **agency costs**:

- **Monitoring** costs — boards, auditors, analysts watching managers.
- **Bonding** costs — managers credibly committing (e.g., debt, pay at risk).
- **Residual loss** — the value still lost despite both.

“Corporate governance deals with the ways in which suppliers of finance to corporations assure themselves of getting a return on their investment.” — Shleifer & Vishny (JF 1997)

The governance toolkit — six levers

1. **Boards** — delegated monitors.
2. **Shareholder voting** — collective choice.
3. **Blockholders** — large owners who monitor or exit.
4. **Market for control** — takeovers, activists.
5. **Disclosure** — transparency, audits.
6. **Incentives** — executive pay design.

The thread of the lecture

Levers 1–2 (**boards** and **voting**) are where ESG actually gets decided — so we go deepest there. (Our hook, Engine No. 1, used levers 2 & 4: voting + the market for control.) Each lever ultimately depends on *shareholders* using it (Part 2).

Boards of directors — the apex control body

- Hire, pay, and **fire** the CEO; ratify strategy; oversee risk and reporting.
- Directors owe **fiduciary duties** — of *care* and *loyalty* — to shareholders.
- **Independence**: outside directors meant to monitor, not collude.
- Work through **committees**: audit, compensation, nominating/governance.

But are boards real monitors — or rubber stamps?

The classic worry: CEO-captured boards. Modern theory says the picture is subtler → next slide.

Boards as information & decision bodies (not rubber stamps)

- **Communication.** How a board talks shapes what directors reveal and decide. *(Malenko, RFS 2014)*
- **Productive disagreement.** “Deadlock” on a board can be *value-increasing* — the threat of disagreement disciplines the CEO and directors. *(Donaldson, Malenko & Piacentino, RFS 2020)*

Why this matters for ESG

Whether a board genuinely debates climate risk or diversity — or waves it through — is a governance *design* question, not a slogan.

ASK · Should a firm put more women on its board?

A board is 90% male. A proposal would add several women directors.

Two questions — commit before we look

1. Does board gender diversity *improve firm performance*? *yes / no / depends*
2. Would a **gender quota** *raise* or *lower* firm value? *up / down / no effect*

DISCUSS · What might be true — and how would we even know?

“Yes, it helps”

- more independent monitoring
- diversity of information & perspective
- less group-think / CEO capture

“No / it depends”

- tokenism; constrained search
- the firms that add women may already differ
- correlation $\neq$ causation

The identification trap

“Diverse boards = better firms” in raw data could just mean *good firms add women*. To get a **causal** answer we must strip out that selection. Hold that thought.

Question A — does diversity change board *behaviour*? Yes, clearly:

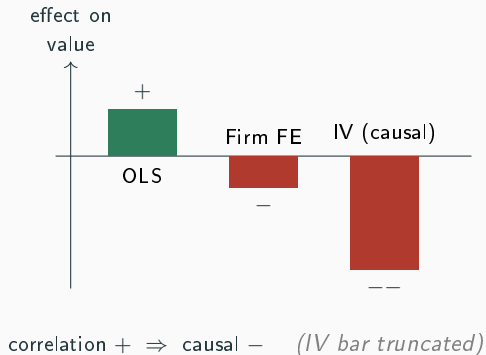
Board behaviour with more women	Direction
Director attendance problems (women, and the men around them)	down ↓
Seats on <i>monitoring</i> committees (audit, nominating, governance)	up ↑
CEO turnover's sensitivity to <i>bad</i> performance	up ↑ (tougher)
Seats on the <i>compensation</i> committee	down ↓

More diverse boards monitor more. That part is not in dispute.

Source: Adams & Ferreira, "Women in the Boardroom . . ." *Journal of Financial Economics* 94 (2009).

EVIDENCE . . . but does it raise firm *value*? Watch the sign

Question B — the effect of board %-female on firm value (Tobin's Q):

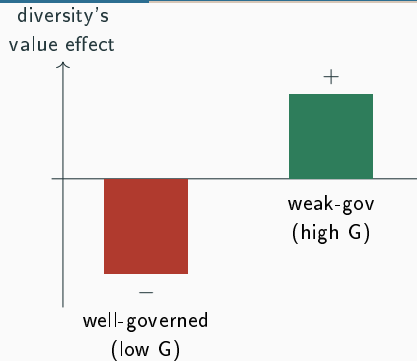


Method	Effect on value
Simple correlation (OLS)	positive
Add firm fixed effects	negative
Instrument for causality (IV)	strongly negative

The positive correlation was selection. Once you isolate cause, the average effect goes *negative*. And it is positive only where shareholder rights are weak.

Source: Adams & Ferreira (JFE 2009), Tables 9–11. Same sign-flip holds for ROA.

EVIDENCE · Where the effect turns *positive*: weak-governance firms



It is an **interaction**, not a subsample — add **Diversity × G-index** to the regression:

Adams–Ferreira, Table 11	sign
Diversity × G-index	+
Diversity alone (low G)	—

G-index = *Gompers–Ishii–Metrick* (2003): sum of 24 anti-takeover provisions; high = weak governance.

The one caveat that matters

This interaction is **firm FE + Arellano–Bond**, not **IV** — the authors had *no instrument for the G-index*. So the **negative average** effect is the clean IV-causal claim; this sign-by-governance is strong *mechanism* evidence (over-monitoring), *not* an IV-identified interaction.

The bottom line

Board gender diversity **reliably increases monitoring** — better attendance, more audit/oversight seats, tougher CEO discipline. But the **average causal effect on firm value is about zero to negative**: a blanket quota can *hurt* already-well-governed firms, while it *helps* firms whose governance is weak.

Why this is the “S meeting the G”

Diversity is simultaneously a *social* goal and a *monitoring-quality* question. “More is always better” is a slogan; the evidence says **it is a governance-design question**.

Incentives: executive pay — align, or symptom?

- The textbook purpose: **pay-for-performance** (equity, options, restricted stock) aligns managers with owners.
- But pay can also be a *symptom* of weak governance — a captured compensation committee.
- **Say-on-pay**: shareholders cast an *advisory* vote on pay — our first taste of voting as a governance tool (Part 2).

So which is it — discipline, or capture? Let's test it on a clean case.

An oil company's stock doubles. The reason: the *world oil price* doubled — nothing the CEO did.

Predict

Does the CEO's **pay** rise with that windfall? And if it does, roughly *how much* relative to pay for performance the CEO actually *caused*? *none / some / just as much*

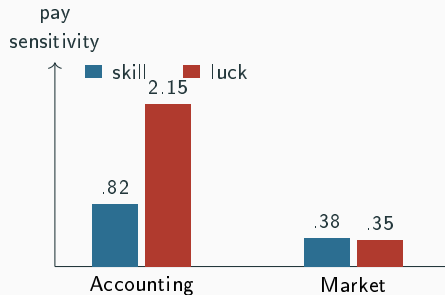
“It shouldn’t”

luck isn't skill; a good board filters it out.

“It will”

pay tracks the stock; nobody hands back a windfall.

How strongly CEO pay responds to a dollar of “skill” vs. a dollar of pure “luck”:



market measure: luck .35 $\approx$ skill .38

Source of the stock gain	Pay response
Genuine performance (“skill”)	baseline
Pure <i>luck</i> (oil-price windfall)	at least as much
... but with a <i>large shareholder</i> on the board	$\approx$ 23–33% less

CEOs are paid for luck **about as much as** for skill
 — *except* where a real monitor sits on the board.

Source: Bertrand & Mullainathan, “Are CEOs Rewarded for Luck?” *Quarterly Journal of Economics* 116 (2001).

The bottom line

CEOs are paid for **luck about as much as for genuine performance**. That pay-for-luck is precisely what *shrinks* (by roughly a quarter to a third) when a **large shareholder** actually monitors the board.

Executive pay is therefore **partly a symptom of weak governance**, not just a cure for it — which is exactly why shareholders later demanded **say-on-pay** (Part 2).

Part 1 takeaway

- Governance exists because **ownership $\neq$ control**.
- A toolkit of six levers manages the resulting agency costs.
- Boards are real, subtle decision bodies — diversity changes how they *monitor* — but **every lever ultimately runs on shareholders**.

So: **who are the shareholders, and how do they exercise power?** → Part 2.

Shareholders & voting: the heart

Who owns the modern firm? The institutional era

Ownership has re-concentrated — not in founders, but in **institutions**.

- The **Big Three** (BlackRock, Vanguard, State Street) cast a large and fast-growing share of votes at US public firms.
- They are mostly **index funds**: they hold “the market” and cannot sell — so **voice** (voting and engagement), not exit, is their lever.

The question this raises

If the biggest owners are *passive* by construction, are they also *passive owners*? Hold that — we test it on the next slide.

The stewardship paradox — worry vs. evidence

The worry

- Index funds hold **enormous** voting power but **weak incentives**: fees are tiny, and any value they create is shared with rivals.
- ⇒ possible **under-investment in stewardship**.

The evidence

- **Appel, Gormley & Keim (JFE 2016)**. More passive ownership ⇒ *more* independent directors, *fewer* poison pills, *less* dual-class.
- “Passive investors, **not** passive owners.”

Why you should care

Whoever controls these votes effectively decides many ESG questions for the whole market — and the data say they *do* use them.

How a shareholder vote actually works

1. **Proxy statement** (DEF 14A) lays out the ballot.
2. **Record date** fixes *who* is eligible to vote.
3. **Annual meeting**: votes cast (mostly by proxy, often by policy).
4. **Results** disclosed (8-K, Item 5.07).

Remember the record date

Eligibility is set on one day — but shares trade *every* day. Who owns the firm on the record date can differ from who owns it later. We will return to this in Part 4.

What shareholders vote on

- **Director elections** — the core accountability vote.
- **Say-on-pay** — advisory vote on executive pay.
- Ratify auditor; approve **M&A**.
- **Shareholder proposals** (SEC Rule 14a-8) — including E&S.

The E&S proposals in the last bullet are where “ESG” meets the ballot (Part 3).

A large owner can **monitor** (voice) or **sell** (exit) — both can discipline managers (Hirschman 1970; Edmans, JF 2009).

A classic result worth knowing

Maug (JF 1998): market *liquidity* can *help* monitoring — it lets a blockholder quietly build a stake and profit from improving the firm. Liquidity and control are not always a trade-off.

A hedge fund quietly buys ~6% of a sleepy firm, files a Schedule 13D, and demands change — sell a division, change the board, return cash.

Predict the next 12 months for the target's stock

rises (discipline works) / falls (raiders strip value) / pops, then reverts (overreaction)

“Value creation”

lazy managers get disciplined; cash freed up.

“Short-termism”

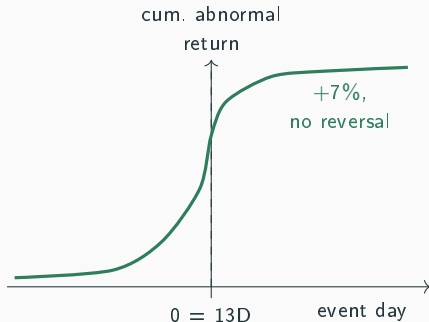
cut investment, juice the stock, flip, leave a husk.

What actually happens at $\sim 1,000$ activist targets:

Outcome at the target	Change
Stock reaction at the 13D announcement	$\approx +7\%$
Reversal over the next year	none (≈ 0)
Operating performance (ROA)	up $\uparrow$
Payout to shareholders	up $\uparrow$
CEO turnover	up $\uparrow$ ($\approx +12$ pp)
CEO pay	down $\downarrow$
Demands succeed / partly succeed	$\approx$ two-thirds

Source: Brav, Jiang, Partnoy & Thomas, "Hedge Fund Activism . . .," *Journal of Finance* 63 (2008).

VERDICT · Activism creates value — and it sticks



The bottom line

On average, hedge-fund activism **creates value and does not reverse**: real operating and governance improvements follow, not a quick flip.

The popular “**short-termist asset-stripper**” story is **not** supported in the broad data — though distributional fights (workers, bondholders) remain a fair separate worry.

Proxy advisors: ISS & Glass Lewis

- Dispersed owners cannot research thousands of ballot items $\Rightarrow$ they **buy recommendations**.
- Two firms — **ISS** and **Glass Lewis** — dominate. ISS alone covers $\sim 40,000$ meetings in 115 countries for 1,600+ institutional clients.
- Kingmakers, or useful intermediaries? A live policy fight (SEC, courts, a 2025 Executive Order).

PREDICT · How much does ISS actually move a vote?

ISS flips its recommendation on a say-on-pay proposal from FOR to AGAINST.

Write down a number

By how many **percentage points** does shareholder support fall?

0 · a few · 10? · 25? · 40?

“ ≈ 0 ”

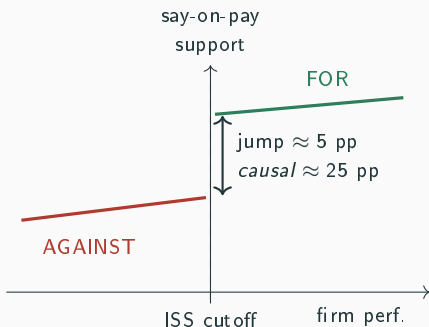
funds do their own homework; it's just advice.

“Huge”

everyone robo-follows ISS; it decides the vote.

EVIDENCE · Malenko & Shen (RFS 2016) — a clean causal cut

The trick: ISS uses a sharp performance *cutoff* for its recommendation. Compare firms just *above* vs just *below* it — near-identical firms, opposite recommendation. (*regression discontinuity*)



Effect of an ISS “AGAINST”	Support
Causal estimate (discontinuity)	≈ −25 pp
Across years & bandwidths	−20 to −29 pp
How often ISS says “against”	≈ 13% of votes

A negative ISS rec **causally** removes about **a quarter** of the vote — not mere correlation.

Source: Malenko & Shen, “The Role of Proxy Advisory Firms (RDD),” *Review of Financial Studies* 29 (2016).

VERDICT · Real power — but “ISS decides” is overstated

The bottom line

ISS causally moves about a quarter of the votes on a contested say-on-pay item — genuine power, not just correlation.

The crucial caveat

~80% of funds vote a *custom* policy, not ISS's headline benchmark (*Hu, Malenko & Zytnick*). So “the advisor tells everyone how to vote” is **overstated**: funds largely express *their own* policies — which is what should shape how we regulate advisors.

Part 2 takeaway

- Voting power has **concentrated** in institutions and intermediaries — and they *use* it.
- The **vote** is the channel through which owners' preferences — financial *and* ESG — reach the firm.

Next: how do **ESG** preferences flow through this channel — and where do they leak?

Governance × ESG

Two channels: voice and vote

E&S preferences reach the firm through **engagement** (voice) and **voting**.

In both, **governance quality** decides whether a preference becomes corporate *action* or just a press release.

- Rule 14a-8 proposals on **climate**, **diversity**, political spending.
- “Say-on-climate” advisory votes on transition plans.
- The 2021 high-water mark: Engine No. 1 vs. Exxon (our opening story).

The reversal: declining E&S support

- Support for E&S proposals has **fallen** since 2021.
- Politics: **anti-ESG** state laws; the Big Three stepping back from climate coalitions; a wave of (often vague) anti-ESG proposals.

Is this fatigue, capture, backlash, or a changing owner mix? An open empirical question.

A fund markets itself as an ESG champion. A climate proposal comes to a vote.

Predict — the counterintuitive bit

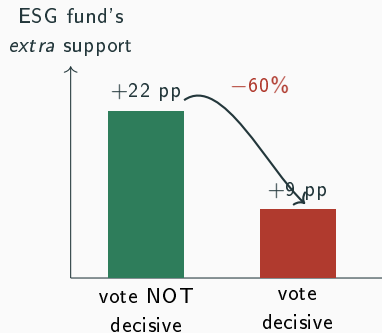
When the fund's vote would actually **decide** the outcome (a close, pivotal vote), does it vote yes **more** often, or **less** often, than when its vote doesn't matter?

more (consistent) / same / less (strategic)

Support for E&S proposals, by who is voting *(share voting FOR, simplified)*:

Fund \ family	ESG family	non-ESG family
ESG fund	~72%	~32%
non-ESG fund	~42%	~7%

The strategic move: an ESG fund's *extra* support is large when its vote is **not pivotal** ($\approx +22$ pp) but **collapses by $\sim 60\%$** (-13 pp) when the vote is **close enough to decide** the outcome.



Source: Michaely, Ordóñez-Calafí & Rubio, "Mutual Funds' Strategic Voting on E&S Issues," *Review of Finance* 28 (2024).

The bottom line

ESG funds back E&S proposals when it is **costless** (their vote won't change the result) and **pull support precisely when their vote would be decisive**. So **average support overstates true commitment** — greenwashing shows up in voting *behaviour*, not just in brochures.

Lesson: read voting behaviour strategically, not at face value.

PREDICT · Does quiet engagement actually pay?

A large fund engages management privately on an ESG issue — no proxy fight, just pressure.

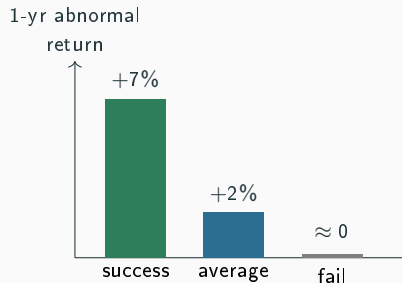
Predict the stock-return payoff

it always pays / it pays only if the engagement succeeds / it never moves the stock

Then: *how often* do you think such engagements actually succeed? *1 in 2? 1 in 5? 1 in 20?*

Abnormal stock return in the year after an ESG engagement:

Engagement outcome	Return
Successful	$\approx +7\%$
Unsuccessful	≈ 0 (no downside)
All engagements (average)	$\approx +2\%$
Overall success rate	$\approx 18\%$
governance asks	$\approx 24\%$
environmental/social asks	$\approx 13\%$



Source: Dimson, Karakaş & Li, "Active Ownership," *Review of Financial Studies* 28 (2015).

VERDICT · It pays — but only when it works (and it usually doesn't)

The bottom line

Engagement **pays only when it succeeds** ($\approx +7\%$, with essentially *no downside* when it fails) — and it succeeds only about **one time in five**. Governance asks win more often than environmental/social ones.

“Active ownership” creates value, but it is hard, selective work — not a free lunch.

A caution: ESG and market power

- **Bond & Levit (JFE 2025):** ESG and market power interact in non-obvious ways — pro-social pledges are *not* always welfare-improving once market power is in play.
- So “successful engagement earns +7%” (Dimson et al.) is a *shareholder-value* statement, not automatically a *social-welfare* one.

Good for shareholders $\neq$ good for society — a theme we return to in Part 4.

The dark mirror: governance *failure* (this afternoon)

When the machinery breaks, social and economic catastrophe follows.

African Bank (ABIL), South Africa, 2014:

- Board capture; CEO hubris; concentrated, high-risk unsecured lending to vulnerable borrowers.
- Collapse — with severe social fallout.

We dissect ABIL as a governance-failure case at 13:00.

- ESG outcomes are **produced** by the governance machine.
- The machine can be **gamed** (strategic voting), pays off **only selectively** (engagement), or is **broken** (ABIL).

The frontier: shareholder democracy

The big idea: the electorate is *endogenous*

People **trade before they vote**. So *who owns the firm at the vote* is itself a choice — made in the market.

Levit, Malenko & Maug, “Trading and Shareholder Democracy” (JF 2024).

Recall the record date: trading reshuffles the electorate right up to it.

Let's *run* it — a 5-minute classroom market

1. Two rooms, **A** and **B**. Half of you are **pro-change**, half **status-quo**.
2. Each gets 2 voting shares + cash; posted price 10; you may buy up to 2 more (no short-selling).
3. I tell **A**: “this will probably *pass*.” I tell **B**: “this will probably *fail*.”
4. Trade for two minutes — then we hold a **share-weighted vote**.

What you'll see

Two identical rooms reach *different* outcomes — because the **expectation** reshuffled who owns the votes. The forecast didn't predict the result; it helped *create* it.

PREDICT · After the vote, who trades?

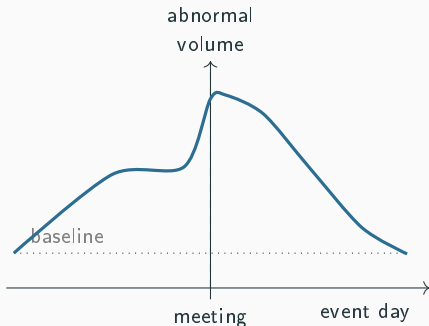
You just simulated trading *before* a vote. Now look *after* a real, contentious shareholder meeting.

Predict

Who trades more once the result is known — the **winners** or the **losers**? And which *direction* do the losers go?

winners buy more / losers sell out / nobody trades — it's settled

The losers sell — and trading volume spikes around the meeting even when the *price* barely moves:



Fund's vote vs. outcome	After the meeting
On the <i>losing</i> side	sells (↑ sell, ↓ buy)
On the <i>winning</i> side	no extra trading

Volume **peaks** ~20% above normal at the meeting and stays elevated **up to four weeks**. The shareholder base becomes more **homogeneous**.

Source: Li, Maug & Schwartz-Ziv, "When Shareholders Disagree," *Review of Financial Studies* 35 (2022).

The bottom line

After a contested vote the **losers systematically sell** and the winners stay — so the shareholder base **homogenises**. Ownership at the vote is **endogenous**: this is the empirical fingerprint of exactly the mechanism you simulated in the classroom market.

Theory (LMM 2024) → your experiment → the data (Li–Maug–Schwartz–Ziv). Same idea, three lenses.

Why that breaks our intuitions

- Trading and voting **reinforce** each other $\Rightarrow$ self-fulfilling outcomes and *multiple equilibria*.
- Making trading *easier* can make shareholders **worse off**.
- A high *price* need not mean happy shareholders: $\text{price} \neq \text{welfare}$.

Levit, Malenko & Maug, “The Voting Premium” (JF 2026).

- A voting premium arises when blockholders reshape the electorate — *without any takeover*.
- Subtle and important: the **measured** premium does *not* equal the value of votes — it can even be **negative** (small holders free-ride on the blockholder).

Döttling, Levit, Malenko & Rola-Janicka (RFS 2026).

- Corporate “one share, one vote” interacts with political “one person, one vote.”
- A shareholder push for pro-social policy can trigger **political backlash** that undoes it — and more diversified investors can intensify the backlash.

Why this is the frontier

- The “**who really decides**” question — now formalized, and squarely policy-relevant.
- It is the research stream I work in.

Which brings us to one **live, unsolved** question.

**A live research question:
dual-class “sunset contests”**

Snap's 2017 IPO sold shares with **zero** votes. Google, Meta and Snap let founders keep **voting control** with a small cash-flow stake.

Predict — two questions

1. Would you pay *more* or *less* for a no-vote share than a normal one? (*cash flows are identical*)
2. Is founder **voting control** *good* or *bad* for firm value?

DISCUSS · Visionary founder, or unaccountable one?

Control is good

- protects a long-horizon founder
- shields R&D from short-term markets
- “skin in the game” / vision

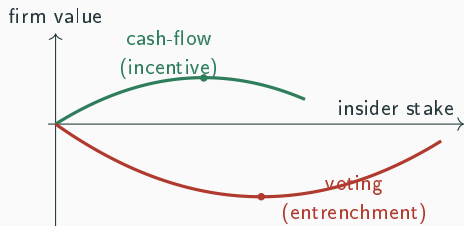
Control is bad

- insulates from accountability
- entrenchment; pet projects
- minority can't discipline

The clean question

Separate *cash-flow* ownership (“skin in the game”) from *voting* control (“insulation”). They usually move together — dual-class **prises them apart**.

Gompers, Ishii & Metrick (RFS 2010) — firm value vs. insiders' stake, two curves:



Insider...	Effect on value
cash-flow rights ↑	up, then flattens
voting rights ↑	down

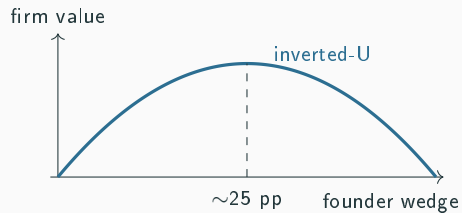
Incentive vs. entrenchment. More *ownership* aligns; more *control* insulates. The gap between them — the **wedge** — is where the danger sits.

Source: Gompers, Ishii & Metrick, "Extreme Governance: Dual-Class Firms," *Review of Financial Studies* 23 (2010).

EVIDENCE . . . and dual-class is *booming* — founder-driven

Aggarwal, Eldar, Hochberg & Litov (JFE 2022):

Who takes firms public dual-class	% of all IPOs
Founders	~5%
Parent / holding company	~2%
Private equity	~1%
Other insiders / VC	<1%
Dual-class share of IPOs, 2017–19	~ 30%
of which founder-controlled	~18%



value rises with the wedge . . . then **destroys** value
past ~25 pp

Source: Aggarwal, Eldar, Hochberg & Litov, "The Rise of Dual-Class Stock IPOs," *Journal of Financial Economics* 144 (2022).

The bottom line

Insider **cash-flow ownership** raises value (incentive alignment); insider **voting control** lowers it (entrenchment). A *small* founder wedge can add value, but **past ~25 pp it destroys** it. Dual-class is now ~30% of IPOs — so the question is not “ban or allow,” but **how to make control expire**.

Which is exactly the **sunset** debate — and my research.

The “sunset” debate

- Investors (ISS, CII) push for **sunsets**: super-voting rights expire after ~ 7 years.
- **Bebchuk & Kastiel** name three designs — *fixed-time*, *triggering-event*, and *ownership-percentage* sunsets — arguing the case for control *weakens* as time passes.
- In 2023, S&P *reversed* its ban on adding dual-class firms to its indexes — the policy fight is wide open.

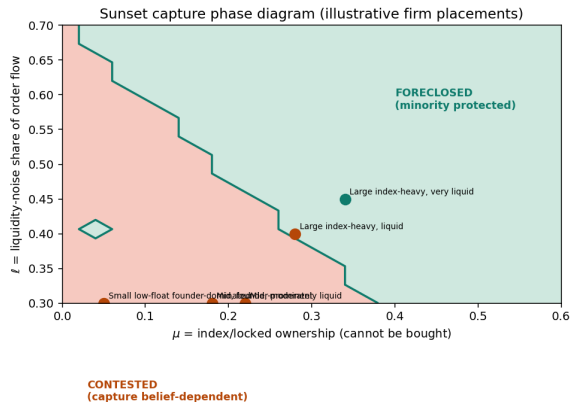
A live experiment: The Trade Desk (2020 & 2025)

The same firm extended its sunset **twice** — under *two different rules*:

- **2020**: extended under a **majority-of-the-minority** vote (only *unaffiliated* holders counted). It passed.
- **2025**: extended again under a **combined** vote where the founder's super-votes counted (a Nasdaq reprimand followed). It passed.

Same founder, two rules, both passed. **So what does the rule actually do?**

EVIDENCE · A model of the “sunset contest” (my pilot)



Under majority-of-minority the founder cannot vote his own shares — but he can *buy out* dissenters, whose shares then drop out of the protected minority.

Who owns the votes when the sunset is contested:

- Time-based sunsets do *not* foreclose capture.
- An ownership-band sunset *can*.

Source: Author's sunset-contest model (calibrated proof-of-concept; work in progress).

The research question

Can a rule meant to *protect* the minority end up *hollowing* it? When does a sunset actually discipline a founder — and which sunset *design* is hardest to game?

- Under a **combined** vote, a controlling founder wins almost by definition — the sunset barely binds.
- Under **majority-of-minority**, he buys out the dissenters instead. So which design actually works?

This is my current research. Your thoughts?

Wrap-up

Five takeaways

1. Governance is the **transmission mechanism** for E and S.
2. **Ownership** $\neq$ **control** $\Rightarrow$ the agency problem $\Rightarrow$ the toolkit.
3. Power now sits with **institutions, advisors, and the vote** — and they *use* it (ISS moves $\sim 25\%$ of a vote; passive funds aren't passive).
4. The **electorate is endogenous** — voting is subtler than it looks; ESG votes can be gamed.
5. The frontier (**dual-class sunsets**) is live and unsolved.

- **Voting & trading:** Levit, Malenko & Maug — *Trading and Shareholder Democracy* (JF 2024); *The Voting Premium* (JF 2026).
- **Advisors & owners:** Malenko & Shen (RFS 2016); Appel, Gormley & Keim (JFE 2016).
- **ESG in the vote:** Michaely, Ordóñez-Calafí & Rubio (RF 2024); Dimson, Karakaş & Li (RFS 2015).
- **Big picture:** Shleifer & Vishny (JF 1997).

This afternoon: the **African Bank (ABIL)** case.

Questions?